



TEST CODE **02233020**

FORM TP 2012228

MAY/JUNE 2012

CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION

MANAGEMENT OF BUSINESS

UNIT 2 – Paper 02

2 hours 30 minutes

28 MAY 2012 (p.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from **EACH** section.
4. Begin **EACH** question on a separate page.
5. Each question is worth a total of **25 marks**.

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02233020/CAPE 2012



SECTION A

MODULE 1: PRODUCTION AND OPERATIONS MANAGEMENT

Answer ONE question from this section.

1. Sleepwell Motel is setting out to establish a new location on Broad Street in the new township of Diámante. The table below shows the major activities that must be performed, the order of the activities and the estimated time of each activity required to implement the project (establish the new location of the motel).

Major Activity	Order of Activities	Estimated time (weeks)
A	Must be done first.	10
B	Must be done first.	7
C	Can start only when A is completed.	8
D	Can start only when B is completed.	6
E	Can start only when A is completed.	10
F	Can start only when D is completed.	8
G	Can start only when E and F are completed.	2

- (a) Using the information given in the table above, draw a network diagram depicting the **major** project activities and their sequential relationships. [9 marks]
- (b) State
- (i) the length, in weeks, of EACH path [3 marks]
 - (ii) the expected length of the project [2 marks]
 - (iii) the amount of slack time for EACH path. [3 marks]
- (c) Outline TWO advantages and TWO limitations of using project evaluation and review technique (PERT) and critical path method (CPM) for planning and coordinating large-scale projects. [8 marks]

Total 25 marks

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2. (a) (i) Define the concept of 'customer' as it relates to total quality management (TQM). [2 marks]
- (ii) State TWO ways in which TQM is important in business. [2 marks]
- (b) Describe THREE TQM techniques used by businesses to enhance competitiveness in the market. [9 marks]
- (c) WILCO, an American-based manufacturing company is considering setting up a coconut processing plant in one of three CARICOM countries.
- Discuss THREE factors that are **likely** to influence WILCO's decision about where to locate its business. [12 marks]

Total 25 marks

SECTION B

MODULE 2: FUNDAMENTALS OF MARKETING

Answer ONE question from this section.

3. (a) "Advertising is only one part of the controllable promotional mix."
- Differentiate between 'informative advertising' and 'persuasive advertising', describing ONE situation in which EACH would be effective. [8 marks]
- (b) "A key element in advertising is media selection."
- Discuss TWO factors that may influence the choice of media. [8 marks]
- (c) Identify THREE promotional tools, other than advertising, and outline ONE relative advantage of EACH tool. [9 marks]

Total 25 marks

4. (a) Define the concept 'distribution'. [2 marks]
- (b) Identify THREE factors that may influence the choice of a distribution channel and explain the importance of EACH factor in determining such choice. [12 marks]
- (c) Outline THREE advantages and TWO disadvantages, **to a manufacturer**, of using intermediary channels. [11 marks]

Total 25 marks

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SECTION C

MODULE 3: SMALL BUSINESS MANAGEMENT

Answer ONE question from this section.

5. Chemicals Plus is a small business organization engaged in manufacturing chemicals. It is located in Tropical Isle, a Caribbean country where the main focus of the government is the development of small businesses.

- (a) Discuss FOUR ways in which Chemicals Plus can contribute to the development of Tropical Isle's economy. [16 marks]
- (b) Describe THREE possible difficulties faced by small businesses like Chemicals Plus. [9 marks]

Total 25 marks

6. (a) (i) Define the term 'entrepreneur'. [2 marks]
- (ii) Outline THREE characteristics of a successful entrepreneur. [6 marks]
- (b) Miss Enterprise has recently completed her studies in Early Childhood Education. She now wishes to set up a nursery and after-care business for children, aged 6 months to 3 years, in her neighbourhood.

Identify FOUR factors that Miss Enterprise must take into consideration if her business is to succeed and discuss the importance of EACH factor to the success of the business.

[17 marks]

Total 25 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.